

STATE OF NEW YORK

3996--A

2025-2026 Regular Sessions

IN ASSEMBLY

January 30, 2025

Introduced by M. of A. BRONSON, BERGER, DINOWITZ, PHEFFER AMATO, TAPIA, TAYLOR, SIMONE, SANTABARBARA, COLTON, SHRESTHA, LUNSFORD, BURDICK, STECK, CLARK, BRABENEC, REYES, SHIMSKY, RAMOS, BICHOTTE HERMELYN, KAY, RAGA, ROZIC, R. CARROLL, ZINERMAN, RAJKUMAR, WEPRIN, WRIGHT, GONZALEZ-ROJAS, DILAN, BURROUGHS, LEE, ROSENTHAL, MORENO -- read once and referred to the Committee on Housing -- recommitted to the Committee on Housing in accordance with Assembly Rule 3, sec. 2 -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the private housing finance law, in relation to establishing a jobs and housing pilot program to create jobs in the construction industry and address the housing crisis

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

- 1 Section 1. Short title. This act shall be known and may be cited as
2 the "jobs and housing act".
- 3 § 2. Legislative intent. 1. The legislature finds and declares that
4 New York state is in the midst of a jobs and housing crisis. More than
5 half of renters statewide are rent-burdened, spending more than 30% of
6 their income on rent. Over 60,000 New Yorkers are homeless. Home owner-
7 ship has slipped out of reach for an entire generation, cracking the
8 foundation of the American Dream and threatening to deepen the racial
9 wealth gap. The backbone of New York state's existing supply of afford-
10 able housing is in jeopardy; new unfunded renewable energy mandates
11 threaten to impose extraordinary capital costs on Mitchell-Lama and
12 similar limited equity cooperatives built by labor unions that will push
13 them out of affordability.
- 14 2. The housing crisis has also become a labor crisis due to shortages
15 of workforce housing. Over 500,000 people left New York state in 2022,
16 driven out of the state by high housing costs. Working families and
17 talented professionals are leaving New York in search of a path to

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

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1 homeownership, or at least housing they can afford. In New York city,
2 civil service positions that require residency, once highly sought-after
3 as a ticket to middle-class stability, have now become harder to fill.
4 New York state must dramatically expand its supply of affordable housing
5 to remain competitive in the global economy.

6 3. The housing crisis is exacerbating a crisis of good jobs, which in
7 turn exacerbates the housing crisis. Median real household income has
8 declined by 7.2% in New York state since 2019. Workers are squeezed by
9 skyrocketing housing costs on the one hand, and stagnant real wages on
10 the other. Historically, union careers in the construction industry have
11 been a pathway to the middle class for thousands of New Yorkers, partic-
12 ularly immigrant workers, workers of color, and workers without college
13 degrees, but since 2019, the industry lost over 44,400 jobs due to the
14 pandemic. Public spending on residential housing construction is urgent-
15 ly needed to close the gap by creating good jobs for working people in
16 New York state, which will result in a virtuous cycle of increased
17 consumer spending to sustain economic growth.

18 4. The housing crisis threatens to deepen the racial wealth gap in New
19 York state. White households are more than twice as likely to own their
20 own homes than Black or Latino households in New York state. Decades of
21 racial discrimination through redlining, restrictive covenants, and most
22 recently, predatory lending have prevented Black and Latino families
23 from accessing the wealth-building engine of home ownership. This has
24 contributed to a massive racial wealth gap: in New York state, median
25 White household net worth is \$276,900, while Black median household net
26 worth is \$18,870. The housing crisis threatens to deepen this disparity
27 by pushing home ownership further out of reach for Black and Latino
28 households.

29 5. The current model of housing development is not working for working
30 people and threatens the economic vitality of our state. It is therefore
31 in the interests of the people of New York to pilot a new approach to
32 creating good jobs and affordable workforce housing.

33 § 3. The private housing finance law is amended by adding a new arti-
34 cle 31-A to read as follows:

35 ARTICLE 31-A
36 JOBS AND HOUSING ACT

37 Section 1283. Short title.

38 1284. Definitions.

39 1285. Jobs and housing pilot program.

40 1286. Report.

41 § 1283. Short title. This article shall be known and may be cited as
42 the "jobs and housing pilot program".

43 § 1284. Definitions. For the purposes of this article:

44 1. "Agency" shall mean the housing finance agency established pursuant
45 to section forty-three of this chapter.

46 2. "Eligible project" shall mean preservation of buildings owned under
47 article two, four, five, or eleven of this chapter and operated as coop-
48 erative housing or new construction of rental or ownership multiple
49 dwelling affordable to persons of low and moderate incomes.

50 3. "Project labor agreement" shall mean a pre-hire collective bargain-
51 ing agreement between an owner or contractor and bona fide building and
52 construction trade labor organization which has established itself as
53 the collective bargaining representative for all persons who will
54 perform work on such a project, and which provides that only contractors

1 and subcontractors who sign a pre-negotiated agreement with the labor
2 organization can perform work on such a project.

3 4. "Building service employee" shall mean any person who is regularly
4 employed at, and performs work in connection with the care or mainte-
5 nance of, an eligible multiple dwelling, including, but not limited to a
6 watchman, guard, doorman, building cleaner, porter, handyman, janitor,
7 gardener, groundskeeper, elevator operator and starter, and window
8 cleaner; provided, however, that building service employee shall not
9 include persons regularly scheduled to work fewer than eight hours per
10 week.

11 § 1285. Jobs and housing pilot program. 1. Within amounts appropriated
12 or otherwise available therefor, the agency shall develop and administer
13 a jobs and housing pilot program to construct and preserve housing,
14 including workforce housing, that is affordable to low and moderate
15 income persons, and creates good jobs for those who build and work in
16 such housing. The agency is hereby authorized to take administrative
17 actions when necessary to comply with the requirements within this arti-
18 cle.

19 2. The agency shall post on its website the request for applications
20 for eligible projects to apply for funding awards.

21 3. In order to qualify for a funding award under the program, the
22 applicant shall:

23 (a) demonstrate a plan to use contractors that participate in appren-
24 ticeship programs registered pursuant to article twenty-three of the
25 labor law; and

26 (b) attest to responsibility for ensuring that all demolition,
27 construction, rehabilitation, renovation, retrofit or repair work is
28 subject to article eight of the labor law, including the applicable
29 prevailing wage pursuant to section two hundred twenty of the labor law.
30 As part of such attestation, the applicant shall agree to joint and
31 several responsibility for any penalties assessed under article eight of
32 the labor law that are against any contractor or subcontractor on the
33 applicant's eligible project under this program. Where the applicant
34 agrees to enter into a project labor agreement, this paragraph shall not
35 apply; and

36 (c) attest to responsibility for ensuring that all building service
37 employees employed by the applicant for an eligible project subject to
38 this article shall receive the applicable prevailing wage for the eligi-
39 ble project. As part of such attestation, the applicant shall agree to
40 joint and several responsibility for any penalties assessed under arti-
41 cle nine of the labor law that are against any contractor or subcontrac-
42 tor on the applicant's eligible project under this program; and

43 (d) demonstrate a commitment to utilizing financing, in part, from a
44 labor organization's pension fund or a commingled fund of pension fund
45 investments with a demonstrated track record of successful investment in
46 both new construction and substantial rehabilitation of affordable hous-
47 ing.

48 4. Nothing in this article shall impair eligible projects receiving
49 funding awards under this article from concurrently receiving funding or
50 benefits for the construction or preservation of housing, including but
51 not limited to real property tax exemptions, tax credit financing, bond
52 financing, subordinate debt, grants, credit enhancement and guarantees,
53 and other such funding or benefits as may be necessary to ensure the
54 feasibility of eligible projects receiving funding awards under this
55 article.

1 5. To certify compliance with subdivision three of this section, the
2 agency shall designate the fiscal officer pursuant to article eight and
3 article nine of the labor law as the enforcement officer on such eligi-
4 ble projects.

5 § 1286. Report. 1. No later than three years following the effective
6 date of this article, the division of housing and community renewal
7 shall issue a report on the jobs and housing pilot program containing
8 data on program applications and awards. Such report shall include, but
9 not be limited to:

10 (a) the number of applications for funding received;

11 (b) the number of applications selected for award and contract;

12 (c) the amount of funding disbursed, by eligible project;

13 (d) the number of new housing units financed; and

14 (e) the number of preserved housing units financed.

15 2. Such report required pursuant to subdivision one of this section
16 shall be posted and made publicly available on the division of housing
17 and community renewal's website in a clear and conspicuous manner.

18 § 4. This act shall take effect immediately.